the management can take corrective actions.

7. **Remedial Action:** The effective control system shows the places of failure, reasons for failure and how it can be rectified.
8. **Motivation:** Control system motivate the employees and direct the employees to do the work effectively instead of punishing them.
9. **Flexible:** It means the control system should be suitable to the environmental changes
10. **Control by Functions and Factors:** Control gives importance to production, marketing, finance, human resource etc. It should also force on quality, quantity, time and cost.

9.7 Merits and Demerits of Controlling

It is a process whereby standards (targets) will be set, analysing the actual performance by comparing standards and actual performance; finally correcting the deviations. It is a mechanism which converts dreams into reality.

Merits:

- **Correcting the deviations:** It reveals the deficiency in the sub-functions of planning such as policy, procedures, objectives, rules and strategy. It gives the management a chance to modify the sub-functions of planning in order to achieve the desired result.
- **Initiating Action:** Action is the essence of control, it enables the management to take remedial action on deviations. Necessary rectification can be done.
- **Facilitates delegation and decentralisation:** A supervisor delegates authority to his sub ordinates to get things done. The delegation is made properly and helps control to find out whether the employees are able to attain standard.
- **Activates subordinates:** If proper control mechanism is absent then subordinates in the organisation will be lethargic. This is a human tendency. Subordinates will be actively engaged in their activities only if they have psychological pressure. The management can ensure this by taking proper actions.
- **Increases efficiency:** Generally, skilled workers will not be efficient if there is no proper control mechanism. Therefore, control induces and persuade the workers to increase their efficiency.
- **Optimum Utilisation of resources:** Subordinates in the organisation will use the resources optimally and effectively, if proper control is initiated. Subordinates are responsible for the wrong usage of the resources.
- **Integrating Force:** Control integrates all the department and workers in the organisation in order to achieve the objectives. Control acts as a coordinating force for the management. Coordination is the essence of the management; therefore, this can be made only when there is proper control mechanism.

Demerits:

- **External threats:** Organisation cannot control the external factors such as suppliers, government, technology, customers, and competitor's etc. this pose a major challenges for the management.
- **Impossibility of quantification:** Quantification refers to setting up

XII OSS_English version CHAPTER 09.indd 120 1/7/2020 6:10:05 PM